

after a gap of eight months for “a balanced, mutually beneficial and forward-looking deal”. The talks were in a limbo owing to general elections in both the countries. However, there is no definite timeline for its conclusion with Union Commerce and Industry Minister Piyush Goyal underlining that there will be speed, but not haste after his meeting with UK Secretary of State for the Department for Business and Trade Jonathan Reynolds in New Delhi.

Talks between India and the 27-nation EU bloc seemed to be even more focussed—there is an agreement for concluding the FTA by 2025-end. This was one of the key outcomes of the meeting of Prime Minister Narendra Modi with Ursula von der Leyen, President of the EU, who visited India in late February along with the EU College of Commissioners.

28 | US President Donald Trump’s plans to impose reciprocal tariffs on imports into the US is set to come into effect from April 2, which could potentially upend the global trade order. While India and the US have agreed to conclude the first phase of a bilateral trade agreement by the fall of 2025, India is unlikely to remain unscathed from the reciprocal tariffs. The US has already levied 25% tariff on imports from Canada and Mexico and an additional 10% tariff on Chinese imports.

The UK is the sixth largest investor in India and bilateral trade stood at \$21.34 billion in 2023-24. India’s bilateral trade in goods with the EU amounted to \$137.41 billion in 2023-24, making it India’s largest trade partner for goods.

Manoranjan Sharma, chief economist of credit rating agency Infomercials Valuation & Rating Ltd., notes that the US’s tough tariff stance has injected an element of greater uncertainty in the increasingly VUCA (volatile, uncertain, complex, and ambiguous) world. “These pacts between India and the UK and the EU will help diversify and expand export markets

BUILDING TIES

1 India and the UK announced the resumption of FTA negotiations after a gap of eight months

2 Talks between India and the 27-nation EU bloc is supposed to conclude by the end of 2025

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4 In the EU trade talks, one of the sticking points remains the proposed carbon tax on sectors such as steel and cement

and provide level field in relation to competitors, who may have already entered FTAs with partner countries,” he says.

However, he cautions it is unrealistic to expect this FTA to offset the impact of stiffer tariffs by the US, since it is India’s largest trading partner and the largest export destination. “Such FTAs may, however, cushion to a limited extent the impact of higher tariffs imposed by the US,” says Sharma.

However, thorny issues in both set of negotiations remain. Reduction of tariffs by India on goods, including automobiles, wines and whisky, and more access for agricultural goods continue to be key asks of both the UK and the EU.

For India, clinching the social security agreement or the Double

Contribution Convention Agreement that would help Indian professionals working in the UK as well as secure more business visas for skilled professionals from the UK continue to be a top priority. In the EU trade talks, one of the sticking points remains the proposed carbon tax on sectors such as steel, cement and aluminium that India wants reviewed.

But experts believe the countries should consider a step-by-step approach. “A sectoral FTA can be explored. Alternatively, an interim trade pact such as a first phase trade agreement, followed by a second phase and then a comprehensive FTA, can be finalised. This will help the countries keep aside controversial issues and yet focus on bilateral trade,” says Surendar Singh, Associate Professor, International Business, Jindal School of Liberal Arts and Humanities, O.P. Jindal University.

This would be similar to the way India and Australia penned the Economic Cooperation and Trade Agreement two years ago. The two are now working on a mutually beneficial Comprehensive Economic Cooperation Agreement.

Meanwhile, the India-European Free Trade Association (EFTA) and Trade and Economic Partnership Agreement (TEPA) have also completed a year this March. The pact with the EFTA countries includes a binding commitment that they will invest \$100 billion, resulting in creation of one million direct jobs in India over the next 15 years. Officials remain optimistic on this front and highlight that this could be another option that can be used in the EU and UK FTA talks.

Expectations are that 2025 would see the culmination of at least one of these pacts, if not both, along with the trade agreement with the US. This story will keep everyone on the edge of their seats until the resolutions are decided. **BT**

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